

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.
COMPLAINANT
v.
THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY
RESPONDENT**

**COMPLAINANT PORT ELIZABETH TERMINAL & WAREHOUSE
CORP.'S RESPONSE TO THE PORT AUTHORITY OF NEW YORK AND
NEW JERSEY'S PROPOSED FINDINGS OF FACT**

Complainant, Port Elizabeth Terminal & Warehouse Corp. (PET&W), sets forth the following as its response to the Port Authority of New York and New Jersey's Proposed Findings of Fact pursuant to 46 C.F.R. 502.214:

A. PET&W response to "PETW is not a marine terminal operator under the Shipping Act."

1. On July 21, 2017, PETW commenced an action with the FMC against the Port Authority. (RX 1-14).

Admitted.

2. In the complaint, PETW claims that the FMC has jurisdiction because the parties to this action – PETW and the Port Authority – and PNCT are marine terminal operators within the meaning of the Shipping Act. (RX 2-3).

Admitted.

3. On February 1, 2018, Patrick J. Wynne, PETW's president for the past 23 years, was deposed. (RX 260, RX 263).

Admitted that Patrick J. Wynne was deposed on February 1, 2018.

4. Mr. Wynne testified that PETW is a warehousing company that warehouses products such as alcoholic beverages, paper, pulp, wastepaper, food products, metal, non-hazardous products, water, and other wood products. (RX 281, RX 283-84).

Denied that this fairly or fully sets forth Mr. Wynne's testimony and it is out of context if being used to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier – the definition of a Marine Terminal Operator.

Q. The business of PETW does it provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier?

MR. BARRAGAN: Objection; form. Calls for a legal conclusion.

A. . . . Yes.

(RX 284).

5. PETW has warehouses in Levittown, Pennsylvania, and throughout New Jersey. (RX 284).

Admitted.

6. Mr. Wynne testified that PETW does not provide any transportation services. (RX 281).

Denied as out of context if uses to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier – the definition of a Marine Terminal Operator. Mr. Wynne testified as follows:

Q. Let's talk about PETW's business. What does PETW do?

A. PETW is a public warehouse. So public warehouse, to expand on that, is a warehousing concern that **provides handling storage and transportation services** for companies who choose not to perform those functions themselves.

(RX 281) (emphasis added).

Further, Mr. Wynne described PET&W's business as providing a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights. The 58,000 lbs. containers can legally be transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported by Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal and prepared to legal off-port highway weights and off-port delivery. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading. (Verified Complaint, paragraph IV.E-H).

The above supports Mr. Wynne's testimony as follows:

Q. The business of PETW does it provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier?

MR. BARRAGAN: Objection; form. Calls for a legal conclusion.

A. . . . Yes.

(RX 284).

7. According to Mr. Wynne, PETW does not transport any cargo from its warehouses into ships that are docked at the ports. (RX 305).

Denied as out of context if uses to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier - the definition of a Marine Terminal Operator. The testimony of Mr. Wynne was:

Q. Does PETW transport cargo directly from one of the ships at the port to any of its warehouses? A. No.

Further, Mr. Wynne testified as follows:

Q. Let's talk about PETW's business. What does PETW do?

A. PETW is a public warehouse. So public warehouse, to expand on that, is a warehousing concern that **provides handling storage and transportation services** for companies who choose not to perform those functions themselves.

(RX 281) (emphasis added).

Additionally, Mr. Wynne described PET&W's business as providing a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings. These 58,000 lbs. containers cannot be legally

shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights. The 58,000 lbs. containers can legally be transported via the Port's Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported by Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal and prepared to legal off-port highway weights and off-port delivery. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU's per year of these types of heavy-loaded import and export containers that require on-terminal transloading. (Verified Complaint, paragraph IV.E-H).

The above supports Mr. Wynne's testimony as follows:

Q. The business of PETW does it provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier?

MR. BARRAGAN: Objection; form. Calls for a legal conclusion.

A. . . . Yes.

(RX 284).

8. PETW also does not transport any cargo from ships that are docked at the ports to its warehouses. (RX 305).

Denied as out of context if uses to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier - the definition of a Marine Terminal Operator. See above response to 7 which is incorporated herein.

9. Mr. Wynne admitted that PETW does not have any contracts or agreements with ocean carriers or ocean vessel companies. (RX 309).

Denied that this fully and fairly describes Mr. Wynne's full testimony and it is out of context if used to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier - the definition of a Marine Terminal Operator. Mr. Wynne's testimony is as follows:

Q. How do you know PNCT has a common customer with PETW?

A. Because PNCT has MSC and Maersk lines at their terminal and a number of our customers use MSC and Maersk. So those containers that ultimately arrive at us are being discharged from a vessel or loaded onto a vessel by PNCT. That's what I mean by common customers. We both do business with the same customers to some extent.

Q. You said vessels. Does PETW have any agreements or contracts with vessel companies?

A. No.

(RX 308 to RX 309).

10. Mr. Wynne also admitted that PETW does not have any contracts or agreements with shipping companies or shipping lines. (RX 301-02).

Denied as out of context if uses to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier - the definition of a Marine Terminal Operator. Mr. Wynne gave the following testimony regarding its maritime related customers:

Q. Nestle Waters?

A. Nestle Waters, part of that business we do is the import so that's San Pelligrino, Perrier and a variety of other brands.

Q. What about Ashley Furniture?

A. Ashley Furniture is a furniture manufacturer and they import the material, I wouldn't know the name of it, but essentially the material that's inside upholstered chairs and couches and all that. So that material comes in from overseas and we warehouse it and ship it their production facilities in the U.S.

Q. What about Constellation Brands?

A. That's the company that has the U.S. distribution rights to the Corona beer and all of the other Corona affiliates, the other brands they have. Constellation Brands brands we do that business through a contract with a company called Grand Worldwide.

Q. Is Grand Worldwide a distributor?

A. They're a 3PL.

Q. What is 3PL?

A. Third-party logistics company that arranges various services, including warehousing and transportation.

Q. What about Arauco?

A. Arauco is an imported wood customer. They have facilities in both Chile and Brazil. The business we used to do for them is primarily from Chile and they have a combination of imported plywood. They also do moldings.

Q. What about Coastal Forest Products?

A. They are a broker but in that same imported wood business.

Q. What about CMPC USA?

A. CMPC would be a direct competitor of Arauco. They are also from Chile and they are a wood manufacturer and they import plywood, as well as moldings, door jams, all different types of wood.

Q. And Blue Linx?

A. They are in the same category as Coastal Forest Products. They are a spinoff from Georgia Pacific and they do imported wood.

Q. What about Peri Formwork Systems?

A. The same, imported wood.

Q. Does PETW have any agreements or contracts with any shipping companies?

A. I'm not sure I understand the question.

Q. Does PETW have any agreements or contracts with any shipping lines?

MR. BURKE: Objection to the form of the question. He just told you he doesn't understand the question. You just repeated it. Don't answer. Wait until he repeats it.

MR. BARRAGAN: I did not repeat it, Don.

Q. You can answer.

A. Shipping lines that's steamship lines is what you're asking and the answer is no, we do not.

Q. Does PETW have any agreements or contracts with ocean carriers?

MR. BURKE: Objection.

A. Shipping lines and ocean carriers in my mind are the same. Now, I should add that when you ask the question about contracts to ship on any ocean carriers or lines, the answer is we do not have that. However -- I'm sorry, the answer is no, we do not have any contracts at all.

(RX 300 to RX 302).

11. Mr. Wynne testified that PETW is not registered as a marine terminal operator with the FMC. (RX 303).

Admitted but out of context. Denied as out of context if used to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier – the definition of a Marine Terminal Operator. See responses to paragraphs 6-11 above.

12. Mr. Wynne also testified that PETW does not publish a tariff schedule with the FMC. (RX 303).

Admitted but out of context. Denied as out of context if uses to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier – the definition of a Marine Terminal Operator. See responses to paragraphs 6-11 above.

13. Mr. Wynne admitted that PETW has never filed a tariff schedule with the FMC. (RX 303).

Admitted but out of context. See responses to paragraphs 6-11 above.

14. According to Mr. Wynne, PETW is not a member of the New York Shippers Association or the United States Marine Exchange. (RX 303).

Admitted but out of context. See responses to paragraphs 6-11 above.

15. Mr. Wynne testified that the March 29, 2018 letter he authored contains a list of PETW's customers. (RX 290-92, RX 478-80).

Denied. Mr. Wynne testified as to Deposition Exhibit Wynne-A :

Q. So let's start -- strike that. Are the customers listed in the document we have marked as Wynne-A all the customers of PETW on March 29, 2017, which is the date of the letter we have marked as Wynne-A was dated?

A. No.

Q. What customers are not included in the list of customers in the document we have marked as Wynne-A?

A. I can't specifically say, but these ones that would be -- I would probably say it's significant. There are many more that are much, much smaller. So those were not included on here.

Q. This would be a list of your major customers?

A. I think that would be accurate, yes.

(RX 292).

16. In essence, PETW's customers consist of companies that manufacture goods, produce commodities, and recycle paper, none of which are ocean carriers. (RX 290-301, RX 309, RX 478-80)

Denied as out of context if used to suggest PETW does not provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier - the definition of a Marine Terminal Operator. Mr. Wynne testified:

A. All of the international business that we do comes from ships at Port Newark Elizabeth. I'll rephrase that. Most everything, a small percentage comes from

Global Terminal, but our international import business most everything comes from Port Newark Elizabeth on ships.
(RX 290).

17. The FMC website contains a list of all the marine terminal operators registered with the FMC. (RX 1051-56).

Denied that this is competent proof. Document not exchanged in discovery and not authenticated or admissible for the proposition that PET&W is not a Marine Terminal Operator. See responses to paragraphs 6-11 above.

18. The Port Authority and PNCT are registered as marine terminal operators with the FMC. (RX 1054).

Denied that this is competent proof. Document not exchanged in discovery and not authenticated or admissible for the proposition that PET&W is not a Marine Terminal Operator. See responses to paragraphs 6-11 above.

19. PETW is not registered as a marine terminal operator with the FMC. (RX 1051-56).

Denied that this is competent proof. Document not exchanged in discovery and not authenticated or admissible for the proposition that PET&W is not a Marine Terminal Operator. See responses to paragraphs 6-11 above.

20. The FMC website also contains a list of all the vessel operating common carriers registered with the FMC. (RX 1057-61).

Denied that this is competent proof. Document not exchanged in discovery and not authenticated or admissible for the proposition that PET&W is not a Marine Terminal Operator. See responses to paragraphs 6-11 above.

21. PETW is not registered as a vessel operating common carrier with the FMC. (RX 1057-61).

Denied that this is competent proof. Document not exchanged in discovery and not authenticated or admissible for the proposition that PET&W is not a Marine Terminal Operator. See responses to paragraphs 6-11 above.

22. In sum, PETW is not a marine terminal operator because it does not provide warehousing services in connection with anyone who qualifies as a common carrier.

Denied. The PET&W is a Marine Terminal Operator and so is the Port Authority of New York and New Jersey (PANYNJ). See responses to paragraphs 6-11 above.

A. PET&W response to “The Port Authority did not impose any undue prejudice or disadvantage upon PETW or give any unreasonable preference or advantage to other marine terminal operators.”

i. PET&W response to “The PETW Agreement”

23. On November 1, 2009, PETW and the Port Authority entered into the PETW Agreement, pursuant to which, the Port Authority leased to PETW certain premises in Port Newark, which included building 201 on Export Street and building 202 on Clipper Street. (RX 707-839).

Denied. The Agreement was executed by the Port Authority on January 25, 2010 and by PET&W on November 9, 2019. (RX 790). However, the document at RX 707-839 appears to be the AGREEMENT OF LEASE Between THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY and PORT ELIZABETH TERMINAL & WAREHOUSE CORP. Lease No. LPN-297 which speaks for itself.

24. Pursuant to the PETW Agreement, the letting of buildings 201 and 202 commenced on November 1, 2009 with a termination date of October 31, 2019, unless terminated sooner pursuant to the terms of the PETW Agreement. (RX 712).

Denied. The document at RX 707-839 appears to be the AGREEMENT OF LEASE Between THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY and

PORT ELIZABETH TERMINAL & WAREHOUSE CORP. Lease No. LPN-297 which speaks for itself. As to the term of the letting it states: “The term of the letting under this Agreement for the Building 173 Annex Premises, the Building 201 Premises, and the Building 202 Premises (the “Building 173/201/202 Premises”) shall commence at 12: 01 o’clock A.M. on November 1, 2009 (the “Building 173/201/202 Lease Commencement Date”) and shall expire if not sooner terminated, at 11:59 o’clock P.M on October 31, 2019 (the “Building 173/201/202 Premises Term”).

25. Section 41 of the PETW Agreement titled, Additional Termination Rights/Recapture Rights, gave both, the Port Authority and PETW the right to terminate the letting of buildings 201 and 202, without cause, from and after October 31, 2015, on one year’s prior written notice to the other party. (RX 770-71).

Denied. The document as RX 707-839 appears to be the AGREEMENT OF LEASE Between THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY and PORT ELIZABETH TERMINAL & WAREHOUSE CORP. Lease No. LPN-297 which speaks for itself. Section 41 provides:

“Section 41. Additional Termination Rights/Recapture Rights (a) In addition to all other rights under this Agreement, to the Building 173 Annex Premises, the Building 201 Premises, the Building 202 Premises, and the Open Area, both the Port Authority and the Lessee shall have the right to terminate the letting under the Agreement, without cause, effective at any time from and after October 31, 2015, on one (1) year’s prior written notice to the other party. Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term. (b) In addition to all other rights under this Agreement, as to only the Building 194 Premises, both the Port Authority and the Lessee shall have the right to terminate the letting under the Agreement, without cause, at any time, on sixty (60) days’ prior written notice to the other party. Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term. (c) In addition to all other rights under this Agreement, as to only the Building 199 Premises, both the Port Authority and the Lessee shall have the right to terminate the letting under the Agreement, without cause, at any time, on one (1) year’s prior written notice to the other party. Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term.”

This provision must be interpreted in light of the longstanding relationship existing between the landlord and tenant where the landlord had always provided sufficient premises to the tenant if relocation was necessary and the covenant in all contracts that the parties would act in good faith.

Sam Ruda testified pursuant to Rule 30(b)(6) as a designated representative of PANYNJ who testified:

Q. So -- well, do you dispute that over those 40 years up until recently, that the Port Authority and Port Elizabeth Terminal & Warehouse have been able to negotiate deals to their mutual satisfaction that accommodates both sides' interests?

A. Yes.

Q. And that includes moving the physical location of Port Elizabeth Terminal & Warehouse operation on occasion.

A. Yes.

Q. So those things are undisputed. Am I right?

A. Yes.

* * * *

Q. Understood. But my client says, and at least as to these buildings up until 2001 and 2002, that the Port Authority always accommodated us and we accommodated the Port Authority. And as we go through these different areas of the port, that's substantiated. Would you agree with that?

A. Correct.

(RX 58 to RX 59; RX62).

* * * *

Further, the Port Authority executed a lease with Port Newark Container Terminal on the same day as it executed the PET&W lease, January 25, 2010 (RX790). Through this lease PANYNJ promised the premises which had been leased to PET&W for a term of 10 years (November 1, 2009 to October 31, 2019) to PNCT.

Patrick Wynne of PET&W testified:

Q. Did Port Authority ever give you the opportunity to negotiate or bid for the property that you were on that the Port gave to PNCT?

A. No.

(RX 430).

This is undisputed. Sam Ruda testified:

Q. Well, we say in this litigation we were never given an opportunity to negotiate for the property or properties that are subject to the PNCT lease. Do you dispute that?

A. No.
(RX 76).

Thus, Section 41 of the PETW Agreement must be construed in context of the above facts. (See also PET&W's proposed Findings of Facts and Conclusions of Law).

26. "Termination under the provisions of this Section shall have the same effect as if the effective date of termination stated in the notice were the date of expiration of the Term." (RX 770-71).

See response to 25 above.

27. Pursuant to Section 24 of the PETW Agreement, the failure of PETW to duly and punctually to pay its rents or make any other payment required under the PETW Agreement when due to the Port Authority constitutes an event of default. (RX 754).

Denied that this is a fact relevant to the eviction of PET&W and, further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ must be estopped from asserting that PET&W's financial difficulties, which PANYNJ caused is a reason for PANYNJ's further Shipping Act violations.

28. Pursuant to Section 24 of the PETW Agreement, upon the occurrence of any event of default or at any time thereafter, the Port Authority may by written notice terminate the letting and the rights of PETW under the PETW Agreement. (RX 755).

See response to 25 above. Also, this fact is not relevant to the eviction of PET&W and, further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ must be estopped from asserting that PET&W's financial difficulties, which PANYNJ caused is a reason for PANYNJ's further Shipping Act violations.

29. The PETW Agreement did not require PETW to make any investments.

(RX 707-839).

Denied. Referencing the entire agreement to support a factual proposition is unfair and inadequate to support the fact asserted. Further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ and PET&W was require to invest great sums of money.

30. The PETW Agreement did not require PETW to construct any improvements on the leased premises. (RX 707-839).

Denied. Referencing the entire agreement to support a factual proposition is unfair and inadequate to support the fact asserted. Further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ and PET&W was require to invest great sums of money to construct improvements. Finally, PET&W was never given the opportunity to negotiate on the same footing as other Marine Terminal Operators including PNCT, FAPS and Columbia Coastal.

31. The PETW Agreement did not impose upon PETW any minimum throughput requirements. (RX 707-839).

Denied. Referencing the entire agreement to support a factual proposition is unfair and inadequate to support the fact asserted. Further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ and PET&W was require to invest great sums of money to construct improvements. Finally, PET&W was never given the opportunity to negotiate on the same footing as other Marine Terminal Operators including PNCT, FAPS and Columbia Coastal.

32. The PETW Agreement did not require PETW to provide any terminal guarantees to the Port Authority. (RX 707-839).

Denied. Referencing the entire agreement to support a factual proposition is unfair and inadequate to support the fact asserted. Further, as set forth in PET&W's proposed Findings of Facts and Conclusions of Law, PANYNJ's unlawful conduct in violation of the Shipping Act increased the cost of PET&W's operation and PANYNJ and PET&W

was require to invest great sums of money to construct improvements. Finally, PET&W was never given the opportunity to negotiate on the same footing as other Marine Terminal Operators including PNCT, FAPS and Columbia Coastal.

ii. PET&W response to “The PNCT Agreement”

33. PNCT’s business is to “[d]ischarge and load ships and deliver cargo to trucking companies.” (RX 308).

Denied that this is a complete description of PNCT’s operation but admit that Patrick Wynne testified as follows:

Q. Do you know what business line PNCT is involved in.

A. PNCT would be a marine terminal operator.

Q. What does PNCT do?

A. Discharge and load ships and deliver cargo to trucking companies.

Q. Is PNCT in the warehousing business?

A. I don’t have any knowledge of that.

Q. You said PNCT and PETW have common customers, right?

A. We have common customers, yes, that’s correct.

(RX 308).

Sam Ruda, the PANYNJ’s representative described PNCT as follows:

Q. Do you have an understanding of who PNCT 13 is?

A. Yes, I do.

Q. Okay. So can you just run that down? And what I’m kind of interested in is the parents, the subsidiaries, related companies, and the like.

A. Sure. The PNCT leasehold is a joint venture, pretty sure it’s a fifty-fifty split. The two partners are Ports America. Ports America ultimately is owned by I believe Oaktree Capital now. It was owned by I think part of the infrastructure fund of AIG Highstar, then Highstar. The other 50 percent is owned by an entity called TIL, T-I-L, 25 Terminal Investment Limited, and that’s a wholly-owned subsidiary of Geneva-Switzerland-based Mediterranean Shipping Line.

Q. Okay. And that’s an ocean carrier?

A. MSC is primarily a global ocean carrier, cruise operator, global terminal operator.

(RX 74 to RX 75).

34. PNCT does not compete with PETW for customers. (RX 308-09).

Denied. Patrick Wynne testified as follows: “Q. You said PNCT and PETW have common customers, right? A. We have common customers, yes, that’s correct.” (RX 308).

35. PNCT does not have a warehousing business. (RX 308).

Denied: Patrick Wynne testified as follows: Q. Is PNCT in the warehousing business? A. I don't have any knowledge of that. (RX 308).

36. On June 14, 2011, PNCT and the Port Authority entered into the PNCT Agreement. (RX 840-1050).

Denied. The Port Authority executed a lease with Port Newark Container Terminal on the same day as it executed the PET&W lease – January 25, 2010. (RX 790).

37. The PNCT Agreement has terminal guarantees, minimum investment requirements, and minimum throughput guarantees of qualified containers. (RX 862, 890-91, RX 954).

Denied that RX 862 supports this proposition. RX 890-91 appears to provide for investment by PNCT but Section 24 of the PNCT/PANYNJ pertains to the PANYNJ creation of a Capital Improvement Fund of up to \$150,000,000. Further, denied as taken out of context. The agreement speaks for itself.

38. Pursuant to the PNCT Agreement, PNCT is required to invest an aggregate minimum of \$500 million “for the construction of capital improvements and acquisition and installation or placement of capital fixtures, equipment or other capital items at the Premises.” (RX 890-91).

Denied as taken out of context. The agreement speaks for itself.

39. However, at the time the PNCT Agreement was signed, PNCT represented to the Port Authority that it intended to invest “Six Hundred Eighteen Million Dollars and No Cents (\$618,000,000.00) at and in the Premises in the following amounts and toward the following purposes: Site - \$130 million, Wharf - \$41 million, Buildings - \$11 million, Technology - \$16 million, and Equipment - \$420 million.” (RX 891).

Denied as taken out of context. The agreement speaks for itself.

40. The PNCT Agreement defines the term “Throughput Threshold Number” as “one hundred forty thousand nine hundred and sixty-eight (140,968) Qualified Containers.” (RX 862).

Denied as taken out of context. The agreement speaks for itself.

41. A “Qualified Container,” in turn, is defined under the PNCT Agreement as “cargo containers (or similar cargo conveyances, if any, which shall generally replace, succeed or are functionally equivalent to present cargo containers) loaded onto or discharged from vessels berthing at the Premises . . . including without limitation any specialized cargo containers such as flat-racks . . . , mafis, trailers and vehicles” (RX 860).

Denied as taken out of context. The agreement speaks for itself.

42. Pursuant to the PNCT Agreement, PNCT is required to increase the throughput threshold number by “(1) one thousand seven hundred and five (1,705) Qualified Containers per acre upon the Completion Date with respect to each acre of each of the Development Parcels or any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels, completed by Les(and (2) eight hundred (800) Qualified Containers per acre upon the Completion Date with respect to each acre of the Starboard Street Property and the Waterfront Shimizaki Property completed by Lessee” (RX 862).

Denied as taken out of context. The agreement speaks for itself.

43. The PNCT Agreement defines the term “Terminal Guarantee Number” as “the number of Qualified Containers calculated by multiplying the number of acres comprising the Existing Terminal Facility, as increased by each of the Development Parcels or any other property added to the Premises that is or becomes contiguous with the Existing Terminal Facility or the Development Parcels upon the Completion Date for each such Development Parcel or other property (and for so long as each such Development Parcel or other property is included in the Premises), during the applicable Lease Year by 2500. Solely for the purposes of calculating Guarantee Rental as specified in Section 56 of this Agreement, prior to the Rail Fly-over Completion Date, the calculation of the Terminal Guarantee Number shall not include any acres comprising the Phase 1 Development Parcel.” (RX 862).

Denied as taken out of context. The agreement speaks for itself.

44. Section 56 of the PNCT Agreement contains the terminal guarantees. (RX 954).

Denied as taken out of context. The agreement speaks for itself.

45. The terminal guarantees of the PNCT Agreement provide that “in the event that the number of Qualified Containers loaded onto or discharged from vessels berthing at the Premises during any such Lease Year shall not exceed the Terminal Guarantee Number for that Lease Year, Lessee shall pay to the Port Authority a Guaranteed Rental equal to the product obtained by multiplying (1) the difference between the Terminal Guarantee Number for that Lease Year and the actual number of

Qualified Containers loaded onto or discharged from vessels berthing, at the premises during that Lease Year by (2) the Tier 1 Rental Rate in effect on the last day of that Lease Year pursuant to the provisions hereof. Any Guaranteed Rental owed under this Section shall be paid by Lessee to the Port Authority on the twentieth (20th) day of the month following the last month of the applicable Lease Year.” (RX 954).

Denied as taken out of context. The agreement speaks for itself.

46. Pursuant to the PNCT Agreement, the Port Authority agreed to deliver possession of certain parcels of land in Port Newark free of all tenants and occupants (the “Added Parcels”) to PNCT. (RX 868).

The agreement speaks for itself.

47. The Added Parcels would be delivered to PNCT in four phases. (RX 850, RX 857).

The agreement speaks for itself.

48. Phase 3 required the Port Authority to deliver to PNCT the parcels of land where buildings 201 and 202 were located, which were being leased to PETW at the time. (RX 865, RX 980).

The agreement speaks for itself; however, PET&W agrees that the PANYNJ agreed to provide PNCT with property leased to PET&W and did not give PET&W an opportunity to negotiate on even terms with PNCT. PANYNJ further led PET&W on with promises to provide suitable alternative space so as to allow PET&W to continue its operations at Port Newark which requires rail access and access to Marine Terminal Highways. The PANYNJ violated the Shipping Act as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

49. PNCT, in turn, was required to “develop and construct improvements on the Added Parcels for use as a Marine Container Terminal Facility . . . in accordance with plans and specifications approved by the Port Authority.” (RX 879).

Denied as complete or relevant. The agreement speaks for itself. However, it should be noted that PET&W proposed to build a state-of-the-art facility on vacant property controlled by the PANYNJ and instead, the PANYNJ leased it to a competitor for storage of containers. This demonstrates the Shipping Act violations as set forth in PANYNJ’s proposed Findings of Facts and Conclusions of Law.

50. Pursuant to the PNCT Agreement, “[i]t is the understanding of the parties hereto that a significant portion of the Lessee’s intended capital expenditures shall relate to the Development Parcels and other Added Parcels as part of the Premises and that the timing of such capital expenditures related to such Added Parcels is dependent upon the delivery of such Added Parcels by the Port Authority by the dates projected in Section 3 hereof.” (RX 891).

Denied as complete or relevant.

51. In order for the Port Authority to deliver possession of the Added Parcels to PNCT in a timely manner, the Port Authority agreed “that it shall use commercially reasonable efforts to cause the current tenants at each of the Added Parcels to comply with the applicable provisions in their lease agreements with respect to vacation and surrender of the relevant Added Parcel [and] not extend or renew any leases of the current tenants at each of the Added Parcels” (RX 868).

Denied as complete or relevant.

52. The expansion of PNCT's facility in Port Newark was publicly announced shortly after the parties signed the PNCT Agreement. (RX 1062-63).

Denied as irrelevant and object to the use of RX 1062-63 as evidential support for proposition.

53. According to a June 15, 2011 article titled "Port Newark terminal lease deal to double volume," the "lease deal between the Port Authority of New York and New Jersey and Port Newark Container Terminal, or PNCT, calls for the company to secure \$500 million in private investment intended to transform its facility on Newark Bay into a larger, more efficient state-of-the-art terminal, which in turn would help accommodate the increased container volume." (RX 1062-63).

Denied as irrelevant and object to the use of RX 1062-63 as evidential support for proposition.

54. The June 2011 article notes that the benefits of PNCT's investment will include the "creation of 1,150 jobs, including 350 construction jobs, resulting in \$88 million in annual wages and \$630 million in regional economic activity." (RX 1066).

Denied as irrelevant and object to the use of RX 1062-63 as evidential support for proposition.

iii. PET&W response to "The Columbia Space Permit"

55. Columbia "is the equipment repair and storage arm of the Columbia Group of Companies." (RX 1290-91).

Denied as supported by RX 1290-91 or that RX 1290-91 can be properly used to support the proposition as it does not appear to have been exchanged during discovery and it is hearsay and unauthenticated.

56. The Port Authority and Columbia entered into a space permit agreement, Permit No. MNS-341 (the “Columbia Space Permit”), effective as of January 1, 2012. (RX 1154-87).

RX 1154-87 appears to be an agreement between Columbia Container Services, LLC, a Delaware Limited Liability Company and PANYNJ which speaks for itself and the characterization provided is denied. It appears to provide property sought by PET&W for the construction of a state-of the art facility to Columbia Container Services, LLC, a Delaware Limited Liability Company for the receipt, discharge, storage, handling, and repair of loaded and empty containers and chassis, and the storage, repair and management of trailer. As set forth in PET&W’s proposed Findings of Facts and Conclusions of Law, the PANYNJ has not provided an adequate opportunity for PET&W to obtain space leased to other tenants.

Mr. Sam Ruda, the PANYNJ’s designated representative gave the following testimony at his deposition taken pursuant to Rule 30(b)(6):

Q. So can you provide as a representative of the Port Authority any business reason for not offering Port Elizabeth the opportunity to bid for the property, the one from FAPS to Coastal Container?

A. The only thing I can represent is that it was open area.

Q. Okay.

* * * *

Q. Okay.

A. I just know that Columbia Coastal had the lease.

Q. And sitting here as a representative, you can’t offer any business justification for that decision. Right?

MR. BARRAGAN: Objection to form. He testified he doesn’t have a recollection.

Q. Yes.

A. I can’t.

(RX 204 to RX 205).

Mr. Ruda’s testimony continued:

Q. You’re here as a representative of the Port Authority to answer questions about the treatment of Port Elizabeth [PET&W]. That’s why I’m asking you, you as the representative of the Port Authority, give me -- can you give me any factual

justification for the Port Authority's decision not to allow Port Elizabeth to bid on the property that went from FAPS to Coastal Container.

MR. BARRAGAN: Objection to form. Already asked and answered.

Q. Can you do that?

A. No.

(RX 206).

57. The provisions of the Columbia Space Permit allowed either the Port Authority or Columbia to revoke the permit without cause upon 30 days' notice. (RX 1180).

RX 1154-87 appears to be an agreement between Columbia Container Services, LLC, a Delaware Limited Liability Company, and PANYNJ which speaks for itself.

iv. PET&W response to "The FAPS Agreement"

58. The Port Authority and FAPS entered into a lease agreement, Lease No. LPN-309 (the "FAPS Agreement") effective as of October 1, 2010. (RX 1188-1290).

RX 1188-1290 appears to be an agreement between FAPS and PANYNJ which speaks for itself.

59. The FAPS Agreement required FAPS to pay throughput rental fees to the Port Authority for every vehicle handled by FAPS. (RX 1197).

RX 1188-1290 appears to be an agreement between FAPS and PANYNJ which speaks for itself.

60. The FAPS Agreement gave the Port Authority "the right, on ninety (90) days' notice, to recapture an aggregate of three (3) acres of the [leased] Premises in any sixty (60) month period of the Term for the purpose of facilitating the efficient movement of vehicles and cargo in and around the Facility, for the purpose of enhancing ingress and egress to adjacent leaseholds and public berths" (RX 1245-46).

RX 1188-1290 appears to be an agreement between FAPS and PANYNJ which speaks for itself.

v. PET&W response to “PETW’s arrears”

61. PETW started falling behind on its monthly rent payments under the PETW Agreement as of August 2014. (RX 696).

Admitted that prior to being evicted, Port Elizabeth Terminal & Warehouse Corp. had agreed to PANYNJ’s requests to vacate warehouse space and incurred millions of dollars in relocation expenses based upon assurances by PANYNJ and the longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.’s operations at Port Newark (Verified Complaint, paragraph IV.T) and that the PANYNJ’s Shipping Act violations resulted in PET&W started falling behind on its monthly rent payments under the PET&W Agreement as of August 2014.

62. PETW failed to pay the rents it was required to pay under the PETW Agreement for the months of August 2014 and September 2014. (RX 696).

See above, however, PET&W denies that RX 696 supports this proposition which is therefore denied.

63. As of February 5, 2015, PETW owed the Port Authority a total of \$647,103.17. (RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W’s financial distress, as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

64. In an effort to aid PETW, on February 5, 2015, the Port Authority and PETW entered into a payback agreement. (RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act

caused PET&W's financial distress, as set forth in PET&W's proposed Findings of Fact and Conclusions of Law.

65. The payback agreement was signed by Mr. Wynne in his capacity as PETW's president and Robert W. Evans on behalf of the Port Authority. (RX 364, RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W's financial distress, as set forth in PET&W's proposed Findings of Fact and Conclusions of Law.

66. In the payback agreement, PETW acknowledged that it "has failed to pay its August and September 2014 monthly rents for Lease No. LPN-297, totaling \$401,560.45; September 2014 monthly rent for Permit No. MNS-330, totaling \$166,617, as well as retro billing for Permit No. MNS-339 totaling \$15,915.12." (RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W's financial distress, as set forth in PET&W's proposed Findings of Fact and Conclusions of Law.

67. In the payback agreement, PETW also acknowledged that the total balance due as of February 5, 2015 was \$647,103.17. (RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W's financial distress, as set forth in PET&W's proposed Findings of Fact and Conclusions of Law.

68. In order to allow PETW to pay back its arrears, the Port Authority authorized "a six-month payback schedule, in which PETW will make 13 bi-weekly

payments of \$50,923.73, including 8.5% interest charges, totaling \$662,008.49.” (RX 696).

The letter marked RX 696 speaks for itself. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W’s financial distress, as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

69. PETW failed to pay its arrears pursuant to the terms set forth in the February 5, 2015 payback agreement. (RX 700).

The letter marked RX 700 speaks for itself, however, it is inadmissible hearsay as it is used and should be stricken. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W’s financial distress, as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

70. As of March 16, 2016, PETW owed the Port Authority \$1,783,155.24 in unpaid rents and other charges. (RX 700).

The letter marked RX 700 speaks for itself, however, it is inadmissible hearsay as it is used and should be stricken. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W’s financial distress, as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

71. In an email dated March 16, 2016, PETW was advised that its “account remains severely delinquent and continues to draw negative attention within the Port Authority. To avoid this being escalated any further, a substantial payment must be made immediately.” (RX 700).

The letter marked RX 700 speaks for itself, however, it is inadmissible hearsay as it is used and should be stricken. PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W’s financial distress, as set forth in PET&W’s proposed Findings of Fact and Conclusions of Law.

72. PETW failed to make any payments. (RX 1066-72).

PET&W denies RX 1066-72 can properly be utilized by PANYNJ as support for the proposition since it is the PANYNJ's own statement. As stated above, however, PET&W denies its financial condition is a defense to the PANYNJ whose acts and omissions and violations of the Shipping Act caused PET&W's financial distress, as set forth in PET&W's proposed Findings of Fact and Conclusions of Law.

vi. PET&W response to "The Notice of Termination of buildings 201 and 202"

73. As buildings 201 and 202 were part of the Added Parcels to be delivered to PNCT free of all occupants and tenants, on April 19, 2016, the Port Authority served upon PETW a Notice of Termination pursuant to section 41(a) of the PETW Agreement (the "Notice of Termination"). (RX 698-99).

Admitted.

74. In the Notice of Termination, the Port Authority advised PETW that it was exercising its rights to terminate the letting of buildings 201 and 202 of effective May 1, 2017, with the last day of beneficial occupancy being April 30, 2017. (RX 698).

The Notice of Termination RX 698 speaks for itself.

75. In other words, the Port Authority gave PETW one year's prior written notice to vacate buildings 201 and 201, in conformity with the requirements of Section 41(a) of the PETW Agreement. (RX 698-99, 770-71).

The Notice of Termination, RX 698, speaks for itself, however, PANYNJ lead PET&W to believe that it would accommodate PET&W's need for adequate space so as to continue its operations at Port Newark as stated in PET&W's proposed Findings of Facts and Conclusions of Law which are un rebutted as set forth therein.

76. Following service of the Notice of Termination, representatives from the Port Authority and PETW met on numerous occasions, including on October 20, 2016, November 30, 2016, March 28, 2017, and June 13, 2017 to deal, negotiate, and discuss PETW's proposals to pay back its outstanding arrears and find alternative warehousing space. (RX 478-80, RX 701-703, RX 1073, RX 1151).

Denied. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PANYNJ never engaged in good faith negotiations and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W.

77. PETW's payback proposals required the Port Authority to lease several buildings to PETW and wait multiple years to be repaid in full. (RX 485-86, RX 1150-51).

Denied. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W.

78. For instance, in February 2017, PETW submitted a repayment proposal whereby PETW would make an upfront payment of \$1.25 million, which was less than half of the amount that PETW owed the Port Authority at the time, while the rest would be paid back in installments; the proposal also required the Port Authority to lease to PETW multiple buildings at a rate of \$0.50 per square foot. (RX 1150).

Denied. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted

to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

79. The Port Authority did not accept PETW's payback proposals because it required the Port Authority to wait over ten years to be paid in full and lease multiple buildings to PETW, which presented "a significant business risk to the Port Authority based in the current financial condition of the company." (RX 1150).

Denied. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

80. In an effort to assist PETW and as part of the ongoing negotiations to provide PETW with alternative warehouse space, the Port Authority considered requiring PETW to make some capital investments, which would be used as credits towards PETW's rents. (RX 1153).

Denied. RX 150 references 150 Pulaski which was offered by the PANYNJ in bad faith. Patrick Wynne testified:

Q. Were you ever made aware that the Port Authority was willing to lease to you 150 Pulaski Street in exchange for payment of \$3 million, yes or no?

MR. BURKE: Objection.

Q. You can answer.

A. I can't say that I knew specifically what may have been said to someone. As I said, previously, the building is entirely unsuitable, doesn't serve the needs. I wasn't taking anything in regard to that as serious offers.

(RX 422).

Mr. Wynne further testified:

Q. Now, we talked about 150 Pulaski Street. Counsel did offer you that. I'm going to ask you this. Do you think that was really a good faith negotiation or part of a good faith negotiation by the Port Authority to give you reasonable alternative space in order for you to continue operations as you had over the previous some 40 years?

MR. BARRAGAN:· Objection to form. Asking for a legal conclusion.

A. I think initially in terms of showing it to us perhaps they thought it was an option, but I think we made it clear that it wasn't at all. So I can only say by continuing to offer that when it's not viable and I think people knew it wasn't viable, I would not call that a good faith.

(RX 446 to RX 447).

As stated in PET&W's proposed Findings of Facts and Conclusions of Law, the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

vii. PET&W response to "The Port Authority files a landlord/tenant action in the Superior Court of New Jersey to evict PETW from buildings 201 and 202"

81. On or around March 29, 2017, the Port Authority learned that "PETW will not voluntarily vacate the premises by April 30, 2017." (RX 1151).

Denied. PET&W at all times was willing to move as long as PANYNJ provided reasonable alternative space for it to continue operations and PANYNJ had at all times enticed PET&W into believing alternative space would be provided. Instead, PANYNJ treated PET&W in a disparate manner than it had in the parties' 42 year relationship and then PANYNJ had treated others similarly situated. Further, RX 1151 does not support the proposition advanced by PANYNJ. It states:

We had an interesting meeting with P. Judge yesterday; they were very responsive to our requests for information. Based on that meeting and our dialogue P. Judge updated their original submittal with the attached. Importantly, they indicated that since they have no alternative space they are not prepared to vacate on April 30th. I am at the port tomorrow but available to discuss by phone. We need to decide if

and how we want to proceed. Also of note, there is a meeting with Law on Friday to discuss options.

This does not support the proposition that “PETW will not voluntarily vacate the premises by April 30, 2017” but rather supports PET&W’s position that it was placed in an untenable position by the PANYNJ “since they have no alternative space.” Rather than negotiate to provide such space as it had in the past and had with other tenants, PANYNJ evicted PET&W.

82. Despite having over one year’s written notice, PETW did not vacate building 201 or 202. (RX 1064).

Denied. See answer to 82, however, PET&W admits that it did not vacate until forced to by PANYNJ.

83. On May 1, 2017, the Port Authority drew down \$655,000 from PETW’s letters of credit, and applied this amount towards PETW’s arrears. (RX 1296).

Denied that RX 1296 supports this proposition which appears to be an unexplained, unauthenticated PANYNJ document.

84. On May 4, 2017, the Port Authority commenced a landlord/tenant action for a judgment of possession of buildings 201 and 202 in the Superior Court of New Jersey. (RX 1074-1079).

PET&W admits that RX 1074-1079 is a copy of a Verified Complaint which speaks for itself.

85. On July 21, 2017, four days before the trial date of the landlord/tenant action, PETW filed a complaint with the FMC. (RX 1-14).

PET&W admits that RX 1074-1079 is a copy of a Verified Complaint filed on May 4, 2017 by the PANYNJ against PET&W which speaks for itself and RX 1-14 is a Verified Complaint filed by PET&W against PANYNJ seeking relief pursuant to the Shipping Act and which appears to be served by the FMC on July 26, 2017.

86. On July 25, 2017, the parties appeared before the Hon. Dennis F. Carey, III, for the trial of the landlord/tenant eviction action, which was adjourned to July 26, 2017, in order for the trial court to consider the merits of PETW's order to show cause to stay the eviction action pending resolution of the FMC proceeding. (RX 1080-91). PET&W admits that RX 1080-91 is a transcript of proceeding which speaks for itself.

87. On July 26, 2017, Judge Carey denied PETW's order to show cause. (RX 1108-11). PET&W admits that PETW's order to show cause was denied.

88. On that date, PETW made an oral motion to transfer the case to the Law Division, Civil Part, in order to file a counterclaim against the Port Authority. (RX 1111). PET&W admits that RX 1080-91 is a transcript of proceeding which speaks for itself, including RX 111, but denies it is relevant or probative of the issues presented.

89. Same was denied by Judge Carey and the matter proceeded to trial. (RX 1111). PET&W admits that RX 1080-91 is a transcript of proceeding which speaks for itself, including RX 111, but denies it is relevant or probative of the issues presented.

90. After both sides has the opportunity to be heard, Judge Carey found that as a matter of law, the Port Authority complied with the provisions of the PETW Agreement and entered a judgment of possession in favor of the Port Authority. (RX 1123-26).

Denied. PET&W admits that RX 1080-91 is a transcript of proceeding which speaks for itself, including RX 111, but denies it is relevant or probative of the issues presented.

91. As part of his decision, Judge Carey found that PETW's filing of the FMC action was merely a ploy to delay the eviction process. (RX 1109-10).

Denied. PET&W admits that RX 1080-91 is a transcript of proceeding which speaks for itself, including RX 111, but denies it is relevant or probative of the issues presented.

92. PETW proceeded to file an emergent application with the Appellate Division for a stay, which was denied by the Appellate Division on August 7, 2017. (RX 1128-29).

PET&W admits that RX 1128-29 is a copy of an Order on Emergent Motion which speaks for itself but denies it is relevant or probative of the issues presented.

93. In its August 7, 2017 decision, the Appellate Division found that "[a]lthough a prior application had been made to the FMC, *ibid.*, the trial court reasonably found defendant's filing of a complaint with the FMC was an inappropriate tactic to delay eviction proceedings." (RX 1128-29).

PET&W admits that RX 1128-29 is a copy of an Order on Emergent Motion which speaks for itself but denies it is relevant or probative of the issues presented.

94. In an effort to aid PETW in its relocation efforts, the Port Authority offered alternative space to PETW if it paid its arrearage of approximately \$3 million. (RX 704-05).

Denied. RX 704-05 references 150 Pulaski which was offered by the PANYNJ in bad faith. Patrick Wynne testified:

Q. Were you ever made aware that the Port Authority was willing to lease to you 150 Pulaski Street in exchange for payment of \$3 million, yes or no?

MR. BURKE: Objection.

Q. You can answer.

A. I can't say that I knew specifically what may have been said to someone. As I said, previously, the building is entirely unsuitable, doesn't serve the needs. I wasn't taking anything in regard to that as serious offers.

(RX 422).

Mr. Wynne further testified:

Q. Now, we talked about 150 Pulaski Street. Counsel did offer you that. I'm going to ask you this. Do you think that was really a good faith negotiation or part of a good faith negotiation by the Port Authority to give you reasonable alternative space in order for you to continue operations as you had over the previous some 40 years?

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MR. BARRAGAN:· Objection to form. Asking for a legal conclusion.

A. I think initially in terms of showing it to us perhaps they thought it was an option, but I think we made it clear that it wasn't at all. So I can only say by continuing to offer that when it's not viable and I think people knew it wasn't viable, I would not call that a good faith.

(RX 446 to RX 447).

As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

95. The Port Authority offered the building located at 150 Pulaski, which PETW had expressed interest in previously. (RX 704).

Denied. RX 704-05 references 150 Pulaski which was offered by the PANYNJ in bad faith. Patrick Wynne testified:

Q. Were you ever made aware that the Port Authority was willing to lease to you 150 Pulaski Street in exchange for payment of \$3 million, yes or no?

MR. BURKE: Objection.

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(RX 446 to RX 447).

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96. Even after the judgment of possession was entered by Judge Carey, PETW refused to vacate buildings 201 and 202. (RX 416).

Denied. RX 416 does not support the proposition asserted. Further, while it is not relevant to the issues presented, to correct the record, Mr. Wynne testified:

Q. Were you locked out of the premises after the judgment of possession was served upon you for eviction?

MR. BURKE:· Objection.

A. No, we were not. There was a process that took place that the buildings were locked each night and we had a call to have Port Authority operations people come over each morning to open the buildings and let us go in and then come back at night to relock them, but we were not prohibited from operating those buildings.

Q. During business hours were you allowed to conduct business out of Buildings 201 and 202 after the Port Authority obtained a judgment of possession against you?

MR. BURKE: Objection. He doesn't know what a judgement of possession is. Your question is clearly improper and you know it.

Q. Can you answer.

A. The answer to that is in the warehousing business conducting business means receiving inbound because you get paid on the inbound, not on the outbound. So from that day on we were permitted to ship out all the products that we had in there to empty the buildings. We were not permitted to take anything new in or use the buildings to generate revenue.

Q. Were you aware the Port Authority simply could have locked you out of the premises and not let you do anything?

MR. BURKE: Objection. I'm not sure that's true. That's a legal issue.

A. That never happened before so I don't have a lot of knowledge about that.

(RX 414 to RX 416).

97. As a result, on September 18, 2017, a special civil part officer from Essex County, personally served the warrant of removal upon Mr. Wynne. (RX 1130-31).

PET&W admits that RX 1131 appears to be the second page of a Warrant of Removal which speaks for itself, it is irrelevant to the issues presented. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

98. The warrant of removal gave PETW three days to remove all of its belongings from buildings 201 and 202. (RX 1130-31).

PET&W admits that RX 1130-31 appears to be a Warrant of Removal, it is irrelevant to the issues presented. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted

to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

99. In an effort to assist PETW, the Port Authority gave PETW until October 23, 2017 to remove all of its belongings out of buildings 201 and 202; Mr. Wynne himself testified to this effect. (RX 416).

PET&W denies that this is relevant to the issues presented. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

100. By February 23, 2018, PETW owed the Port Authority \$3,584,765.85 in back rents, utilities, and late charges. (RX 1066-72).

PET&W denies that this is relevant to the issues presented, especially when PANYNJ's Shipping Act violations resulted in the financial situation that resulted in PET&W's financial difficulties. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. Further, RX 1150 is PANYNJ's own statement and is inadmissible hearsay for the purpose intended. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

101. As of August 20, 2018, PETW owes the Port Authority \$3,800,584.83 in back rents, utilities and late charges. (RX 1293-99).

PET&W denies that this is relevant to the issues presented, especially when PANYNJ's Shipping Act violations resulted in PET&W's financial difficulties. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to

be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

102. In sum, the reason the Port Authority has been unable to find alternative locations for PETW is because of PETW's substantial arrears, which continue to accrue. (RX 1150).

Denied. As stated in PET&W's proposed Findings of Facts and Conclusions of Law the PET&W sought to be treated as others similarly situated and PANYNJ never engaged in good faith negotiations with PET&W and failed to treat PET&W as it had others similarly situated. PANYNJ has not justified its differential treatment of PET&W. The fact is that PANYNJ did not afford treatment to PET&W that it afforded FAPS, PNCT, and others, who were in arrears but, nevertheless, were permitted to negotiate a lease with payback options that extended over time. PANYNJ has never justified its disparate treatment of PET&W.

B. PET&W response to “The Port Authority did not ask PETW to vacate the properties at Panama Street, Export Street, Marlin Street, or Aruba Street”

103. In its complaint, PETW claims that the Port Authority asked it to vacate the buildings at 194 Panama Street and 199 Panama Street. (RX 5).

Admitted that the Verified Complaint states: “On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ's request to allow for the PNCT Terminal Expansion.”

104. This is incorrect; PET&W vacated the buildings at 194 Panama Street and 199 Panama Street because the letting of those buildings terminated on July 31, 2013

pursuant to a different lease agreement that the Port Authority and PET&W had entered into on July 31, 2018. Titled LPN-286. (RX 353, RX 644-45, RX 683, RX607).

Denied the allegation in the Verified Complaint is correct.

105. In its complaint, PETW also claims that the Port Authority asked it to vacate building 191 on Export Street. (RX 5).

Admitted that the Verified Complaint states: “On or about March 31, 2015, Port Elizabeth Terminal & Warehouse Corp. vacated 312,000 Square feet of warehouse space at 191 Export Street, 194 Panama Street and 199 Panama Street in Port Newark at the PANYNJ’s request to allow for the PNCT Terminal Expansion.”

106. This is also incorrect; PETW vacated the building at 191 Export Street because the letting of that building terminated on July 31, 2013 pursuant to a different lease agreement that the Port Authority and PETW had entered into on July 31, 2008, titled LPN-286. (RX 353, RX 644-45, RX 683, RX 697).

Denied the allegation in the Verified Complaint is correct.

107. In addition, PETW claims that the Port Authority asked it to vacate the buildings at 292 Marlin Street and 1400 Aruba Street. (RX 5).

Admitted.

108. This is incorrect as well; the building at 292 Marlin Street was vacated by PETW after giving 30 days’ notice of its intent to terminate the month-to-month lease for this building. (RX 686).

Denied the allegation in the Verified Complaint is incorrect. In addition to verifying the allegations in the Verified Complaint, Patrick Wynne testified:

Q. So you said 191 was on Export Street, right?

A. Yes.

Q. That was vacated on or about March 31st of 2015?

A Yes. 20

Q That was vacated because the Port Authority requested PETW vacate it?

A That's correct.

Q You also said building 199 -- where is that building located at?

A. That's Panama Street. Page 67

Q. Then there is building 194. Where is that located at?

A. Panama Street.

Q. Let's go with Building 194. Do you recall when PETW vacated the building at 194 Panama Street?

A March 31, 2015.

Q. Did PETW vacate 194 Panama Street on March 31, 2015, because the Port Authority requested it to?

A Yes.

Q. What about building 199 Panama Street, do you recall approximately when PETW vacated the building at 199 Panama Street?

A March 31, 2015.

Q Why did PETW vacate the building at 199 Panama Street on March 31 of 2015?

A. Again, Port Authority requested it.

(RX 325 to RX 326).

109. As to the building at 1400 Aruba Street, PETW obtained possession of same pursuant to a sublease agreement it entered into with Tyler Distribution ("Tyler") on March 1, 2010. (RX 687-95).

Admitted but this was with the permission and approval of the PANYNJ.

110. The sublease of the building at 1400 Aruba Street ended on February 28, 2013. (RX 688).

Denied. This disregards the longstanding practice of holdover tenancies.

111. At no time did PETW ever enter into any agreement to lease the building at 1400 Aruba Street from the Port Authority. (RX 360).

Denied. Mr. Wynne testified:

Q. Why did PETW vacate the building at 1400 Aruba Street on December 31, 2014?

A We were told there was an issue with the sprinkler system and it had to be repaired/replaced and the building needed to be empty to do that.

Q. Who told you there was an issue with the sprinkler system?

A Somebody from the leasing department. I can't tell you specifically who at the Port Authority. In that time frame it may have been Ann Marie Clancy. I'm not a hundred percent sure, but it was somebody in the leasing department.

(RX 326 to RX 327).

As to Building 1400, the following took place on the record:

Mr. Barragan, you were going to give me the information that we sought verifying the pretext, what we considered to be the pretext of evicting them from that space being the sprinklers because we've seen nothing in the records that show a sprinkler inspection, sprinkler problems or sprinkler repair. I think it's a good opportunity for me to say that we contend that's pretextual and the lack of information provided by the Port Authority confirms that.

MR. BARRAGAN: Okay.

MR. BURKE: Okay?

MR. BARRAGAN: Sure.

(RX 363).

No such information was provided. Thus, it is conclusively established that the "sprinkler problem" used by the PANYNJ to have PET&W vacate Building 1400 was a pretext and the PANYNJ simply wanted PET&W out so it could favor other tenants in violation of the Shipping Act.

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By: s/ Donald F. Burke
Donald F. Burke, Esq.

Dated: September 14, 2018

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 17-07

**PORT ELIZABETH TERMINAL & WAREHOUSE CORP.,
COMPLAINANT**

v.

**THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY,
RESPONDENT**

**REPLY BRIEF OF COMPLAINANT
PORT ELIZABETH TERMINAL & WAREHOUSE CORP.**

On the Brief:

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LEGAL ARGUMENT

THE FEDERAL MARITIME COMMISSION HAS JURISDICTION OVER THIS CASE

A. The Shipping Act Prohibits the Port Authority of New York and New Jersey as a Marine Terminal Operator to Impose Any Undue or Unreasonable Prejudice or Disadvantage or Give Any Undue or Unreasonable Preference or Advantage with Respect to Any Person

Respondent the Port Authority of New York and New Jersey (PANYNJ) argues in its Conclusions of Law that the Federal Maritime Commission has no jurisdiction over this case contending that Complainant Port Elizabeth Terminal & Warehouse Corp. (PET&W) is not a Marine Terminal Operator. To the contrary, PET&W is a Marine Terminal Operator and regardless of whether it is a Marine Terminal Operator, PET&W is a “person” under the Shipping Act and, as such, the PANYNJ, which is indisputably a Marine Terminal Operator,¹ may not impose any undue or unreasonable prejudice or disadvantage or give any undue or unreasonable preference or advantage with respect to PET&W.

1. PET&W is a Marine Terminal Operator

The Shipping Act defines the term “marine terminal operator” as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.” 46 U.S.C. § 40102(14).

¹ The PANYNJ admits in its brief: “Here, the Port Authority does not dispute that PNCT and the Port Authority are marine terminal operators.” (See Respondent’s proposed Findings of Fact and Conclusions of Law, page 22).

The Port Authority correctly indicates that a Marine Terminal Operator must provide wharfage, dock, warehouse, or other terminal facilities “with a common carrier, or in connection with a common carrier.” *Id.*

Mr. Wynne, PET&W’s President, described PET&W’s business as providing a key component of the supply chain for ocean-borne cargo by handling containers loaded to the rated capacity of the containers, typically 58,000 lbs. or roughly 26.3 metric tons, by shippers in order to maximize ocean freight savings. These 58,000 lbs. containers cannot be legally shipped on the United States Highway system so the cargo must be transloaded from the containers to legal highway weights. The 58,000 lbs. containers can legally be transported via the Port’s Marine Terminal Highways with their significantly higher gross vehicle weights to Port Elizabeth Terminal & Warehouse Corp. warehouses in Port Newark and off-loaded and legally transported by Port Elizabeth Terminal & Warehouse Corp. and transloaded on-terminal and prepared to legal off-port highway weights and off-port delivery. During the period of 2010 through 2015 Port Elizabeth Terminal & Warehouse Corp. averaged handling in excess of 50,000 TEU’s per year of these types of heavy-loaded import and export containers that require on-terminal transloading. (Verified Complaint, paragraph IV.E-H).²

In light of the above, Mr. Wynne testified:

² PANYNJ’s assertion that citations to the Verified Complaint should be disregarded as not constituting “competent evidence” lacks support as the facts set forth in the Verified Complaint were certified to by a individual with personal knowledge competent to testify on the matters stated. *See, e.g.*, Federal Rule of Civil Procedure 50(c)(4).

Q. The business of PETW does it provide wharfage, dock, warehouse or other terminal facilities in connection with a common carrier or in connection with a common carrier and a water carrier?

MR. BARRAGAN:· Objection; form. Calls for a legal conclusion.

A.· · · ·Yes.

(RX 284).

Mr. Wynne further testified “All of the international business that we do comes from ships at Port Newark Elizabeth. I’ll rephrase that. Most everything, a small percentage comes from Global Terminal, but our international import business most everything comes from Port Newark Elizabeth on ships.” (RX 290).

The PANYNJ incorrectly asserts “a warehousing company qualifies as a marine terminal operator if it offers warehousing services directly to a common carrier.” (See Respondent’s proposed Findings of Fact and Conclusions of Law, page 21). This ignores the statutory definition that an entity providing wharfage, dock, warehouse, or other terminal facilities “with a common carrier, or in connection with a common carrier” is a Marine Terminal Operator. 46 U.S.C. § 40102(14). In light of the facts set forth above, including the testimony in cross examination that “most everything comes from Port Newark Elizabeth on ships,” (RX 290) there can be no other reasonable conclusion but that PET&W is a Marine Terminal Operator.

The PANYNJ relies heavily on the FMC’s opinion in *Auction Block Company and Harbor Leasing, LLC Complainants, v. The City of Homer And Port of Homer, Respondents*, Docket No. 12-03 (August 12, 2004) where the issue was whether the City of Homer, Alaska was a Marine Terminal Operator with regard to activities at the “Fish

Dock” when it was undisputed that the Fish Dock did not serve common carriers because common carriers could not access the Fish Dock and the Fish Dock had “nothing to do with international shipping.” *Id.* at 6. Accordingly, the FMC affirmed the ALJ’s “narrow determination that under the Shipping Act, the City and Port are not engaged ‘in the business of furnishing wharfage, dock warehouse, or other terminal facilities in connection with a common carrier’ at the Fish Dock at this time.” *Id.* at 9. Clearly, this case does not stand for the proposition that to be a Marine Terminal Operator a warehousing company must provide “warehousing services directly to a common carrier” as the PANYNJ contends. It is enough that such services are provided “in connection with a common carrier,” 46 U.S.C. § 40102(14) and such a connection between PET&W and common carriers is amply demonstrated here.

The PANYNJ focuses on a litany of things it contends drive the conclusion that PET&W is not a Marine Terminal Operator while ignoring the fact that PET&W provides warehousing and transportation of goods “in connection with” a “common carrier.” Thus, whether PET&W transports any cargo directly between its warehouses and ships or has contracts or agreements directly with any ocean carriers, ocean vessel companies shipping companies or shipping lines is the appropriate inquiry, not whether it is registered as a marine terminal operator with the FMC. Additionally, whether it publishes a tariff schedule or is a member of the New York Shippers Association or of the United States Marine Exchange are all irrelevant because these things are not required by the statute.

The Shipping Act defines “marine terminal operator” as “a person engaged in the United States in the business of providing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier subject to subchapter II of chapter 135 of title 49.” 46 U.S.C. § 40102(14). As set forth above, PET&W meets this definition. The PANYNJ’s contentions to the contrary must be rejected.

2. The PANYNJ As A Marine Terminal Operator May Not Impose Any Undue or Unreasonable Prejudice or Disadvantage or Give Any Undue or Unreasonable Preference or Advantage with Respect to Any Person, Including PET&W

The PANYNJ’s argument that the FMC lacks jurisdiction over the instant dispute because PET&W is not a Marine Terminal Operator is incorrect as set forth above. Further, the argument disregards that the Shipping Act applies to the PANYNJ as a Marine Terminal Operator and prohibits the PANYNJ from imposing any undue or unreasonable prejudice or disadvantage or give any undue or unreasonable preference or advantage with respect to any persons. The PANYNJ does not contend that PET&W is not a “person” protected under the Shipping Act. Thus, the proposition that the PANYNJ is liable under the Shipping Act if it imposes any undue or unreasonable prejudice or disadvantage or gives any undue or unreasonable preference or advantage as it pertains to PET&W is irrefutable.

B. The PANYNJ Has Imposed Undue/Unreasonable Prejudices or Disadvantages and Has Given Undue/Unreasonable Preferences or Advantage with Respect To PET&W

As set forth in PET&W's proposed Findings of Fact and Conclusions of Law, the PANYNJ violated the Shipping Act by giving an unreasonable preference to other tenants similarly situated and has failed to adequately justify its decisions.

1. Preference and Prejudice Regarding PET&W's Leasehold

The PANYNJ's designated representative, Mr. Sam Ruda, gave the following testimony with regard to the "undue or unreasonable preference or advantage" PANYNJ provided to PNCT and the corresponding "undue or unreasonable prejudice or disadvantage" favorable treatment suffered by PET&W:

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6 Q. Well, we say in this litigation we were
7 never given an opportunity to negotiate for the
8 property or properties that are subject to the PNCT
9 lease. Do you dispute that?

10 A. No.

11 Q. Okay. Do you know the transportation
12 factors -- I'm using that term. You understand what
13 that means. Right? In other words, the Port
14 Authority has to have a basis for making decisions
15 that it makes in treating marine terminal operators
16 differently. You understand that?

17 A. Correct.

18 Q. It has to be a good reason.

19 A. Sure.

20 Q. It has to be a good reason based upon
21 transportation factors, meaning that's what the port's
22 in the business of, and the distinctions being made
23 have to advance those interests. Do you understand
24 that?

25 A. Understood.

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1 Q. Okay. That's part of this shipping
2 world. Right?

3 A. Right.

4 Q. So there has to be an articulation about
5 how one marine terminal operator is being treated as
6 opposed to another marine terminal operator. Do you
7 understand that?

8 A. Uh-hum.

9 Q. Okay. And you're a corporate
10 representative of the Port Authority, and you're here
11 to answer questions about that here today. Is that
12 your understanding?

13 A. Yes.

14 **Q. Okay. So what I'm trying to get at is,**
15 **as a corporate representative, do you have any facts**
16 **that would justify the Port Authority's failure to**
17 **allow Port Elizabeth Terminal & Warehouse Corporation**
18 **to negotiate for the property that was ultimately**
19 **leased to Port Newark Container Terminal?**

20 A. No.³

(RX 76 to RX 77) (emphasis added).

Mr. Ruda also testified:

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17 Q. It's our contention in the litigation
18 that Port Elizabeth presented a proposal to the Port
19 Authority to develop the site that we're calling 201
20 and 202 and invest money in the infrastructure. Do
21 you have any -- well, and that no one at that point
22 told Port Elizabeth that the property had been
23 promised to Port Newark Container Terminal. As a
24 representative of Port Authority, do you have -- can
25 you tell me any facts that dispute that?

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³ PET&W's preference and prejudice claims are timely filed because of the undisputed longstanding practice of the parties to negotiate in good faith and reach agreement regarding alternative suitable marine terminal facilities at reasonable rates for the continuation of Port Elizabeth Terminal & Warehouse Corp.'s operations at Port Newark. Thus, PANYNJ lulled PET&W into complacency until 2017 when it changed the decade's long practice. As set forth in the PET&W's proposed Findings of Fact and Conclusions of Law, the PANYNJ does not contend otherwise.

1 A. No, I can't.

(RX 141 to RX 142).

Any preference or prejudice engaged in by the PANYNJ because of PNCT's affiliation with Mediterranean Shipping Company, as the PANYNJ attempts to do in its proposed Findings of Fact and Conclusions of Law,⁴ would violate the Shipping Act. (See Board Item entitled Port Newark-Port Newark Container Terminal LLC – Lease No. L-PN-264 – Amended and Restated Lease Agreement – Railroad Operation Agreement – Mediterranean Shipping Company - Portwide Throughput Guarantee - dated 6-14-11 PA001204- PA001208).

⁴ The PANYNJ proposed Findings of Fact and Conclusions of Law is replete with attempts at post hoc justifications which are not supported by the record. Post-hoc explanations created in litigation to justify differential treatment do not suffice. *See Ceres Marine Terminals, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251, 1997 FMC Lexis 32, at *101 n.52 (F.M.C. 1997) (rejecting claim that port's worry about "Ceres' ability to pay liquidated damages" justified its disadvantaged treatment because "there is no evidence of any such concern earlier"); *"50 Mile Container Rules" Implementation by Ocean Common Carriers Serving U.S. Atl. & Gulf Coast Ports*, No. 81-11, 1987 WL 209053, at *70 (F.M.C. Aug. 3, 1987) (rejecting "post hoc rationalization" for precluding "certain shippers from fully utilizing off-pier containerization"); *cf. United States v. Virginia*, 518 U.S. 515, 533 (1996) ("justification [for sex-based classification] must be genuine, not hypothesized or invented *post hoc* in response to litigation"); *Tex. Dep't of Cmty. Affairs v. Burdine*, 450 U.S. 248, 256 (1981) (plaintiff can prove discrimination by "demonstrat[ing] that the proffered reason was not the true reason for the employment decision"); *Local 357, Int'l Bhd. of Teamsters, Chauffeurs, Warehousemen & Helpers of Am. v. NLRB*, 365 U.S. 667, 675 (1961) ("It is the 'true purpose' or 'real motive' in hiring or firing that constitutes the test."). The Shipping Act permits differential treatment among similarly situated parties only where valid differences in underlying circumstances actually motivated the decision-maker *at the time*. Further, these attempts at post hoc justifications by the PANYNJ in its proposed Findings of Fact and Conclusions of Law contradict the testimony of its 30(b)(6) designated representative and must be disregarded.

The United States Court of Appeals, District of Columbia Circuit reversed and remanded a determination by the Federal Maritime Commission (FMC) in favor of PANYNJ under analogous circumstances when PANYNJ preferred APM-Maersk over Maher terminals to keep APM-Maersk in the port and not move its operations to Baltimore and to secure a throughput guarantee secured by its affiliated ocean carrier fleet. *Maier Terminals, LLC v Port Authority of New York and New Jersey*, 816 F.3d 888 (D.C. Cir. 2016). The United States Court of Appeals, District of Columbia Circuit recognized that the Shipping Act forbids ocean carriers and MTOs (including port authorities) from “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” with respect to “any person.” 46 U.S.C. §§ 41106(2), 41104(8)-(9) and remanded for a more thorough analysis by the FMC as to whether the PANYNJ’s preference of APM-Maersk over Maher Terminals was justified by valid transportation factors. *Id.* The Circuit Court found the justification provided by PANYNJ, which the FMC accepted, was “hopelessly convoluted, especially in light of [established FMC] precedent.” *Id.*

Accordingly, in this case, PANYNJ has not articulated any valid reason based upon transportation factors justifying its “giv[ing] any undue or unreasonable preference or advantage or impos[ing] any undue or unreasonable prejudice or disadvantage” regarding its treatment of PET&W from 2011 to 2017 and PET&W, therefore, is entitled to Judgment as to this preference/prejudice.

2. Preference and Prejudice Regarding PET&W’s Plan to Develop a State of the Art Transportation-Warehouse Facility and Refusal to Deal

Section 41106(3) of the Shipping Act states that a marine terminal operator may not “unreasonably refuse to deal or negotiate,” 46 U.S.C § 41106(3). “This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *Canaveral Port Auth*, 29 S.R.R. 1436, 1448 (FMC 2003). The Commission has held that a port authority’s refusal to consider a proposal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 29 S.R.R. at 1448. With respect to a port authority, “in determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s efforts at negotiation.” *Canaveral Port Auth.* 29 S.R.R. at 1450. The Shipping Act prohibits “shutting out” any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002).

Thus, to prevail on a refusal to deal claim, a complainant must allege that a party refused to deal or negotiate and that the complainant was unreasonably shut out from negotiations. As set forth in the proposed Findings of Facts, PANYNJ has shut out PET&W from negotiations on a number of proposals which would permit PET&W to obtain space necessary to continue its operations. Any contention that the PANYNJ has a valid reason to shut out PET&W from negotiations because it owed PANYNJ money is rebutted by the longstanding practice of negotiating with entities even though they owe the PANYNJ money. including the various leases and has not articulated a reasonable, non-discriminatory transportation related justification for its refusal. For instance, Mr.

Ruda testified that the PANYNJ entered into a lease agreement with when they owed the PANYNJ money. Mr. Ruda testified “that FAPS was in arrearage is not in dispute. That a broad settlement was incorporated into a supplement to the lease is also not in question.” (RX 147). Mr. Ruda, however, was unable to articulate a legitimate reason for not affording PET&W the same consideration that PANYNJ gave to FAPS:

10 Q. You’re here as a representative of the
11 Port Authority to answer questions about the treatment
12 of Port Elizabeth. That’s why I’m asking you, you as
13 the representative of the Port Authority, give me --
14 can you give me any factual justification for the Port
15 Authority’s decision not to allow Port Elizabeth to
16 bid on the property that went from FAPS to Coastal
17 Container.

18 MR. BARRAGAN: Objection to form.
19 Already asked and answered.

20 Q. Can you do that?

21 A. No.

(RX 206).

Accordingly, the PET&W has presented a prima facie case that the PANYNJ has violated the Shipping Act which the PANYNJ has failed adequately to rebut.

CONCLUSION

For the foregoing reasons, Complainant PET&W requests Judgment against Respondent Port Authority of New York and New Jersey for violating the Shipping Act.

Respectfully submitted,

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Port Elizabeth Terminal & Warehouse Corp.

By: s/ Donald F. Burke
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Dated: September 14, 2018